

Market Research Knowledge Pack

Primary vs Secondary • Segmentation • Niche vs Mass • Data Types • Practical Checklists

What this is

A practical guide to doing market research that leads to decisions (not slide-deck theatre). Use it to validate demand, understand customers, size markets, and reduce expensive guesswork.

What this is NOT

A permission slip to avoid launching. Research should shorten time-to-decision, not delay it. If you already have buyers, prioritize selling and measuring real behavior.

Table of Contents

- 1. Market Research: purpose and pitfalls
- 2. Primary vs Secondary Research: definitions
- 3. Comparison: speed, cost, accuracy, bias
- 4. Primary Research: methods, pros/cons, when to use
- 5. Secondary Research: sources, pros/cons, when to use
- 6. Market segmentation: why we do it + how to do it
- 7. Segmentation bases: demographic (age, gender...), geographic, psychographic, behavioral, and more
- 8. Niche market vs mass market: definitions, pros/cons, choosing
- 9. Data Types: what you can collect (and why it matters)
- 10. Building a Research Plan: step-by-step
- 11. Sampling and bias: the traps that ruin results
- 12. Analysis → Insights → Decisions
- 13. Outputs that matter: TAM/SAM/SOM, positioning, pricing, personas
- 14. Templates and checklists

If you're validating fast, start with Sections 2-8 and the checklists.

1. Market Research: purpose and pitfalls

Market research reduces uncertainty before you spend serious time or money. It answers: who the customer is, what problem is painful enough to pay for, what alternatives exist, how big the opportunity is, and what would make them switch.

Brutal truth

Bad research makes you confident and wrong. The goal is not to “prove your idea”. The goal is to be less wrong than competitors.

Common pitfalls

- Hypotheticals (“Would you buy?”) instead of past behavior (“Tell me about the last time you...”).
- Surveying friends/followers and calling it “the market”.
- Collecting data without a decision attached (no “if X then Y”).
- Over-indexing on opinions and ignoring constraints (budget, trust, switching costs).
- Using research to delay launching.

2. Primary vs Secondary Research: definitions

Primary research is data you collect directly from the market for your question (interviews, surveys, observation, experiments).

Secondary research is existing data collected by others (reports, official statistics, competitor data).

Rule of thumb

Start secondary to map the terrain. Use primary for what secondary can't answer - especially triggers, objections, and pricing.

3. Primary vs Secondary: comparison matrix

Dimension	Primary	Secondary
Speed	Slower (collecting takes time)	Faster (already available)
Cost	Higher	Lower
Specificity	High (built for your question)	Medium/low
Control	High	Low
Best for	Motivation, triggers, WTP, UX	Sizing, trends, landscape

Quick choice

- Sizing/benchmarks/competitors → secondary first.
- Pricing/triggers/objections → primary.
- High-stakes decisions → both, look for contradictions.

4. Primary research

Primary research uncovers what customers do and why they do it. It's most valuable when you're uncertain about behavior, trust, pricing, or messaging.

Methods

- Interviews (motivation + decision process).
- Surveys (measurement + segmentation).
- Observation (unspoken behavior).
- Experiments (ads/landing pages/pricing tests).

Pros / cons

- Pros: tailored, fresh, deep insight, customer language.
- Cons: time, easy to bias, small samples can mislead, stated intent is weak.

5. Secondary research

Secondary research provides context: market size ranges, trends, channels, benchmarks, and competitor moves. It's fast and cheap but not tailored.

Sources

- Official statistics, industry associations, credible research firms.
- Public company filings and investor decks.
- Competitor pricing pages, product pages, reviews, ads.
- Marketplaces and catalog data.

Quality rules

- Triangulate key numbers across 2–3 independent sources.
- Track dates and definitions. If methodology is unclear, treat as a range.

6. Market segmentation: why we do it + how to do it

Market segmentation is splitting a broad market into smaller groups that share similar needs, constraints, and buying behavior. You segment because “everyone” is not a customer - it’s a fantasy.

6.1 Why we do market segmentation

- Focus: stop building and marketing for “generic people” (low conversion, high waste).
- Better messaging: different segments care about different outcomes and use different language.
- Better product decisions: tradeoffs become obvious when the target is clear.
- Better pricing: willingness to pay differs by segment; pricing without segmentation is guessing.
- Better channels: where to find people depends on who they are and how they buy.
- Competitive advantage: you avoid head-on fights where bigger players have scale.

Hard reality

If your segment isn’t specific enough to recruit 20 real people in a week, it’s not a segment. It’s a label.

6.2 How to do segmentation (simple 6-step workflow)

- List hypotheses: 3–8 possible groups you believe exist (based on needs or behavior).
- Define each group: the job they hire the product for, trigger, constraints, and alternatives.
- Collect data: interviews per suspected segment + a small survey if needed.
- Cluster patterns: group by shared triggers, constraints, and willingness to pay (not by vibes).
- Score segments: pick a target using a scoring rubric.
- Validate with behavior: run a landing page/offer test for the top 1–2 segments.

6.3 Segment scoring criteria (pick a winner)

- Pain intensity: how urgent/expensive is the problem?
- Budget / willingness to pay: can they pay and do they want to pay?
- Reachability: can you reach them in specific channels at a sane cost?
- Competitive intensity: are you facing giants with better distribution and lower cost?
- Differentiation: can you prove why you’re better for this segment?
- Repeatability + operational fit: repeat purchase/retention/referrals and your ability to deliver reliably.

7. Segmentation bases: what to segment the market on

A segmentation base is the variable you use to split the market. Use bases that predict different buying behavior. Age and gender can matter, but only when they link to different needs, budgets, channels, or constraints.

7.1 Demographic segmentation (age, gender, etc.)

- Age: may affect style preference, budget, and shopping channel - verify, don't assume.
- Gender: can affect fit needs and identity signaling.
- Income band: affects affordability and expectations (stronger than age in many cases).
- Education: sometimes correlates with tastes and information sources.
- Life stage: student vs employed vs new parent; big impact on time/budget/priorities.
- Household: single vs family; impacts frequency and basket size.

7.2 Geographic segmentation

- City/region/neighborhood (availability, trends, competition).
- Urban vs rural (channels and logistics).
- Climate/seasonality (product need).
- Delivery constraints and retail access.

7.3 Psychographic segmentation

- Values (status vs comfort vs sustainability).
- Identity and lifestyle (streetwear culture, minimalists, athletes, professionals).
- Aspirations (how they want to be seen).
- Trust needs and risk tolerance.

7.4 Behavioral segmentation (often strongest)

- Purchase frequency (heavy buyers vs occasional).
- Channel (Instagram shops vs marketplaces vs retail).
- Occasion (work, gym, events, basics).
- Benefits sought (fit, durability, status, speed).
- Loyalty/switching and returns behavior.

7.5 Needs-based and value-based segmentation

- Needs-based: group by outcome desired (e.g., "looks expensive on a budget").
- Value-based: group by customer value (high LTV, high margin, repeat buyers).

Choosing the right base

Use the base that changes trigger, willingness to pay, channel, and objections. If age/gender doesn't change those, it's decoration - not segmentation.

8. Niche market vs mass market

Niche market means a narrow, specific segment with a focused need (and a focused offer). Mass market means a broad audience with a general offer designed for scale.

Dimension	Niche	Mass
Advantages	Clear positioning, easier trust, often higher willingness to pay, less direct competition	Huge ceiling, economies of scale, stronger defensibility if you win distribution
Disadvantages	Smaller total market, growth cap without expansion	Brutal competition, expensive marketing, price pressure, requires strong operations
Choose when	Limited budget and strong differentiation for one group	You can win on distribution, brand, price, or scale-based costs

How to choose

Choose niche if you need focus and can reach the segment cheaply. Choose mass only if you can win on distribution/brand/price/scale and survive the competition.

9. Data types you can collect (and why they matter)

- Qualitative vs quantitative (why/how vs how many/how much).
- Attitudinal vs behavioral (opinions vs actions).
- Structured vs unstructured (fixed fields vs free text).
- First-, second-, third-party data (your data vs partner vs aggregated).

10. Building a research plan

- Define the decision.
- Write 3-5 research questions.
- List assumptions/risks.
- Pick methods (secondary → primary).
- Define segment + sampling.
- Pilot, run, analyze, decide.

11. Sampling and bias

- Recruit from the real market, not friends/followers.
- Use screening questions.
- Neutral wording; avoid leading questions.
- Count themes; don't trust memory.

12. Analysis → insights → decisions

- Tag interview themes (pain, triggers, objections, alternatives, language).
- In surveys, look for segments, not averages.
- Triangulate secondary numbers and use ranges.
- Every insight must map to an action.

13. Outputs that matter

- TAM/SAM/SOM ranges (with assumptions).
- Positioning: alternatives, 2-axis map, clear tradeoff.
- Pricing: acceptable band + value metric + drivers.
- Segment definition and targeting decision.

14. Templates and checklists

- Research brief: Decision → Segment → Questions → Methods → Success criteria → Owner/date.
- Interview guide: last purchase story, triggers, barriers, alternatives, pricing anchors.
- Survey: screening first, behavioral questions, pilot before publishing.

Your next move

If you want segmentation that works: choose ONE segment and run ONE offer test for it this week.